

MEMORANDUM TO THE MINISTER OF NATURAL RESOURCES CANADA

IMPROVING GLOBAL MARKET ACCESS FOR CANADA'S ENERGY INDUSTRY **(FOR INFORMATION)**

PURPOSE: To inform the Minister of Natural Resources recent trends of Canada's energy export performance and the necessity of actively engaging with Asian trading partners.

SUMMARY

Issue:

- Canada's energy industry is too dependent on the US market. Canada needs to reconsider its energy strategy facing the changing landscape of the US's energy production.

Key Findings:

- The energy sector is Canada's biggest net export industry from 2010 to 2017.
- Over 90% of Canada's energy products have been shipped to the United States in recent years.
- The fast-growing demand for energy in the Asian market meets Canada's need to diversify its trade.

Policy Considerations:

- Free trade agreements will offer Canada's energy producers great potentials in Asia.
- Environmental and Indigenous concerns need to be addressed.
- Canada will face international competition from the Middle East, Australia, and South America.

BACKGROUND

Canada's energy products have been consistently shipped to the US mainly. However, due to the shale oil and gas revolution and decreasing US demand, the Canadian energy sector must consider a future where the US's dominant position in Canada's energy export portfolio may diminish. Asian markets.

As the world's sixth largest energy producer, Canada's energy policy has been framed by a number of free trade agreements, including Canada-United States-Mexico Agreement (CUSMA) as a cornerstone of Canada's energy trade policies. The NAFTA "proportionality clause" which required Canada to export a fixed share of energy production based on the domestic supply to the US has been eliminated in the CUSMA. In 2015, the Canada-Korea Free Trade Agreement (CKFTA) has been put into force, providing Canada's energy sector preferential market access to South Korea. Canada's market access to the Asian market has been enhanced following the enforcement of the Comprehensive and Progressive Agreement for Trans-Pacific Partnership (CPTPP) in 2018.

Domestically, in June 2018, the House of Commons passed the Bill C-69 which proposed to establish the new Canadian Energy Regulator and the Impact Assessment Agency of Canada to rebuild public trust and advance reconciliation with Indigenous peoples. To improve Canada's energy sector's competitiveness, the department will also provide support for moving forward on major projects, such as Liquefied Natural Gas (LNG) and the Trans Mountain Expansion Project.

KEY FINDINGS

Energy sector: Canada's largest net export industry

- The energy sector had the greatest trade surplus, with an average annual net export value of \$64.4B between 2010 and 2017 (see graph 1 in annex) and far exceeded the second biggest net export industry, metal and non-metallic mineral products (\$14.8B per year on average).
- From 2010 to 2014, the export value of Canada's energy products increased from \$86.7B to \$134.7B. However, due to the growth of the US shale oil production and the decision by the Organization of the Petroleum Exporting Countries to maintain the output, the export value of Canada's energy products experienced a sharp decrease between 2015 and 2016 (see graph 2 in annex).

The United States: Canada's top trading partner

- The US, Japan, China, South Korea, and Taiwan were the five largest markets for Canada's energy products. From 2010 to 2017, Canada's average annual net export to these top five countries and regions were \$77.8B, \$1.5B, \$1.2B, \$0.96B and \$0.22B respectively (see graph 3 in annex). The US has consistently been the principal destination for Canada's energy export. More than 90% of Canada's energy has been shipped to the US in recent years (see graph 4 in annex).

Asia: A huge potential market for Canada's energy producers

- The four East Asian countries and regions altogether represented the second largest market for Canadian energy products. From 2010 to 2017, these Asian partners imported an average of \$4.2B energy products from Canada every year, which represented 5% of Canada's annual energy export (see graph 4 in annex).
- Canada's energy export to Japan, South Korea, and Taiwan followed the same pattern in recent years. The net export increased from 2010, reaching its peak in 2011, at \$2.23B, \$1.91B, and \$0.31B respectively. After enduring a decline in the export value, the figure climbed up in 2017 (see graph 5 in annex).
- The energy export to the Chinese market jumped from 2010 to 2012, reaching its summit at \$2.05B due to the acquisition of Canadian shale gas asset by PetroChina. This figure witnessed a sharp decrease from 2012 to 2015 (\$0.7B) and has recovered since 2015 (see graph 5 in annex).
- Among the top 4 Asian trading partners, Taiwan had the greatest average annual growth rate in terms of importing Canada's energy products (23.5%) since 2010, followed by South Korea (10.2%), China (6.6%) and Japan (2.1%). During the same period, this figure for the US was 4.4%, which was lower than most of the Asian partners (see graph 7 in annex).
- Canada's energy export has increased at a notably faster pace in the top 4 Asian markets compared to the US since 2015. The annual growth rate in the Asian markets attained 19% in 2016 and 58% in 2017, which were much higher than that in the US market (see graph 8 in annex).

To summarize, Canada's energy trade would be vulnerable if it is overdependent on the US market, especially in the context of the US shale oil and gas revolution. Alternatively, the higher growth rate of annual export to the Asian market in the recent two years released a positive signal that Canada has the opportunity to diversify its energy market through trading with Asian partners.

POLICY CONSIDERATIONS

Marching for the Asian market will bring great benefits to Canada's energy producers, especially energy industries in Alberta, Saskatchewan, British Columbia, and Newfoundland and Labrador (see graph 9 in annex). The boom in the oil industry will create more jobs for Canadians, and attract foreign investments to the Canadian market. The following section will list the opportunities and challenges Canada's energy sector will face pivoting towards Asia.

I. Opportunities for diversifying Canada's energy export

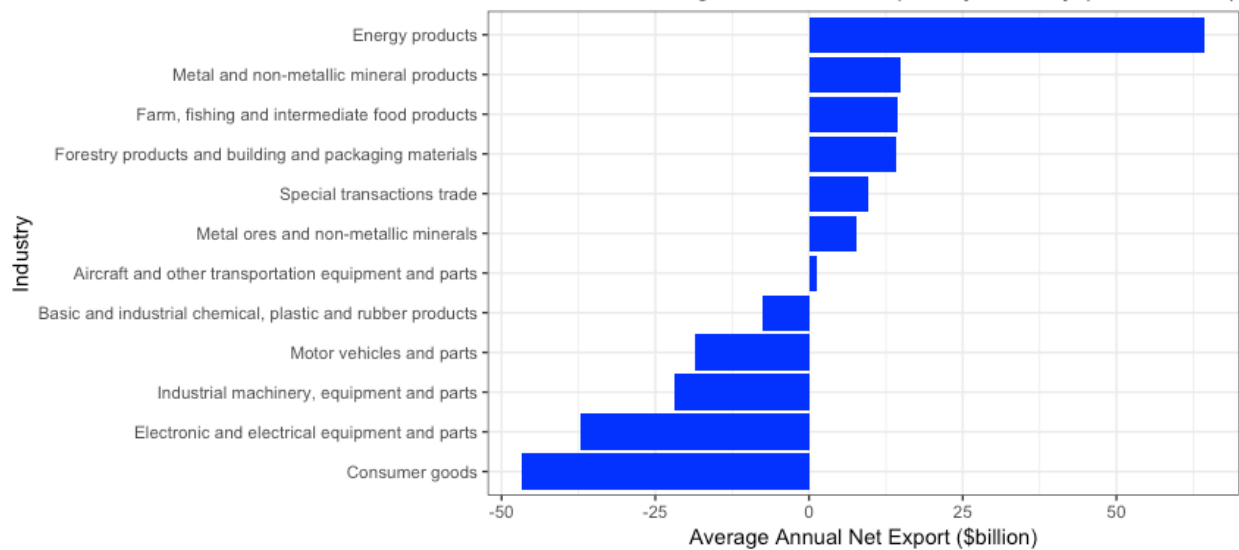
- The elimination of the "proportionality clause" in the Canada-United States-Mexico Agreement gives Canada's energy sector full discretion in deciding its export destinations.
- The Comprehensive and Progressive Agreement for Trans-Pacific Partnership and the Canada-Korea Free Trade Agreement give Canadian energy industry great potentials in the Asian markets. Canada is taking actions to negotiate free trade agreements with China.
- Leaders in China and Japan expressed strong interest in Canada being a stable and reliable supplier of energy.
- There is a fast-growing demand for energy in the Asian market. China is now the world's largest energy consumer. Asia is expected to import 2/3 of crude oil by 2040.
- Canada's opportunity for energy diversification is meeting Asia's growing demand for liquefied natural gas. Japan is by far the largest liquefied natural gas importer, followed by South Korea and China.

II. Challenges

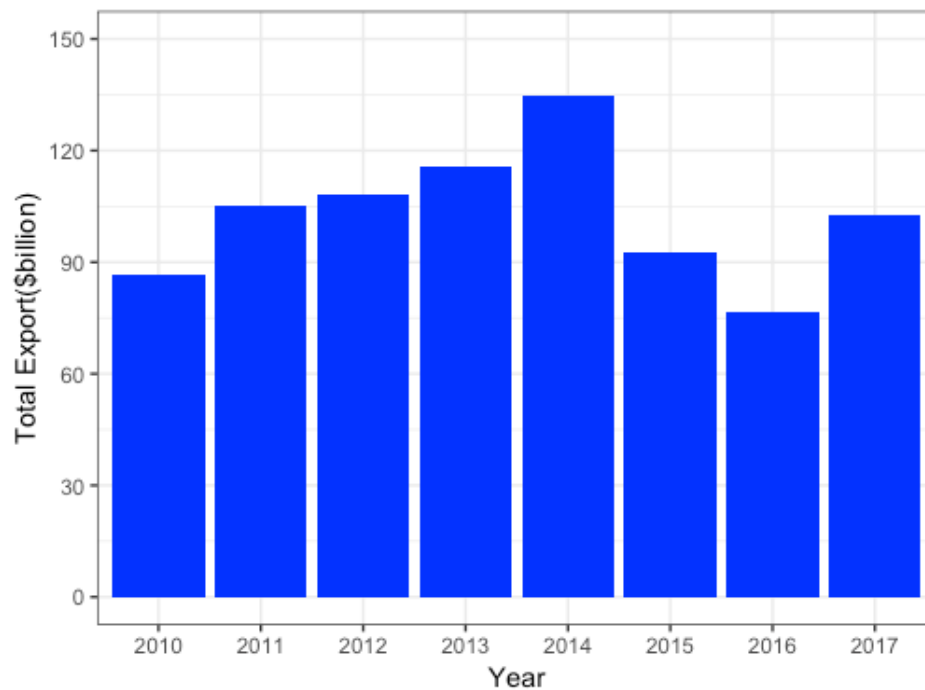
- The department needs to concentrate on overcoming the barriers to energy infrastructure projects at home. Legitimate environmental, safety and aboriginal concerns need to be addressed with long-term solutions.
- Canada's energy sector needs a shift in mindset toward how it engages with the world outside of the United States. Canada has little understanding of how the Asian energy market operates.
- Canada needs to enhance its competitiveness facing international competition from the Middle East, Australia, and South America.
- Canada is currently trapped in diplomatic tensions with China.

ANNEX

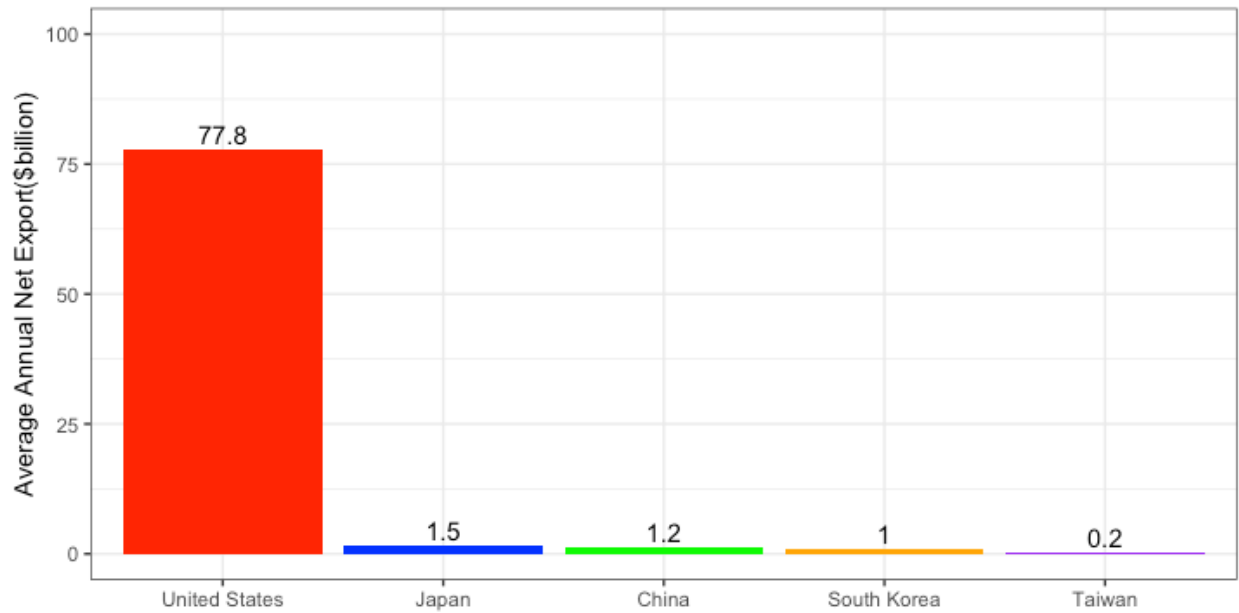
1.Canadian Average Annual Net Export by Industry (2010 - 2017)



2.Canadian Total Energy Export Value (2010 - 2017)

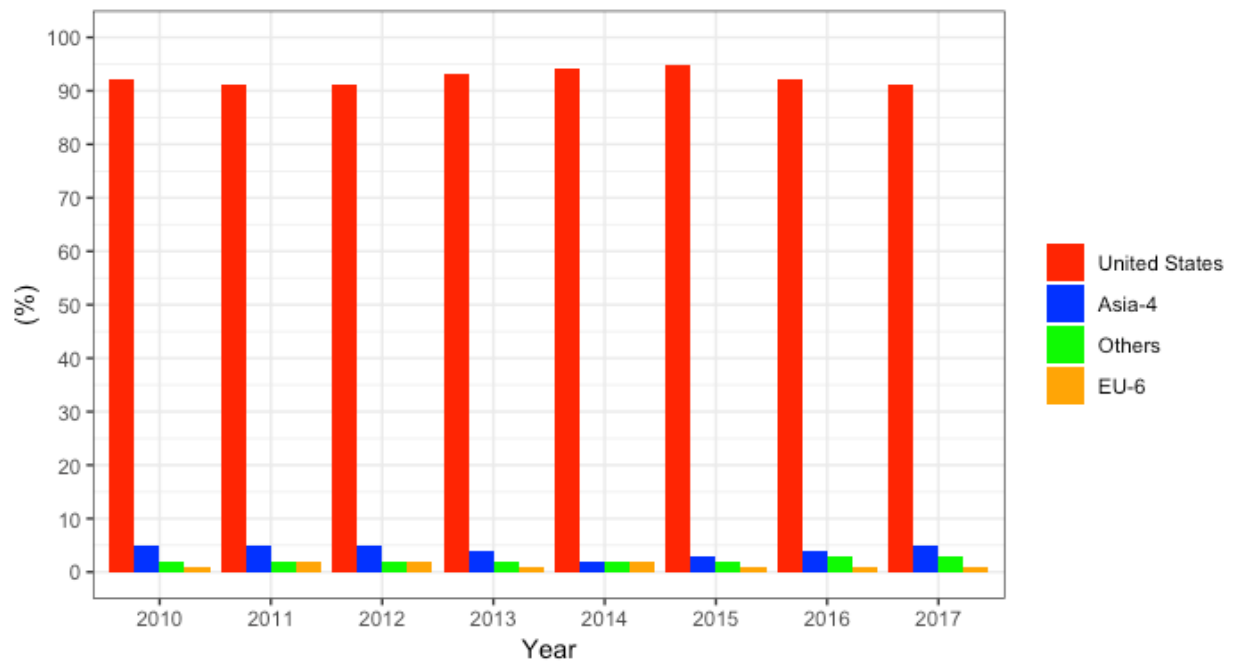


3. Average Annual Net Export of Energy Products to Top Five Partners (2010-2017)



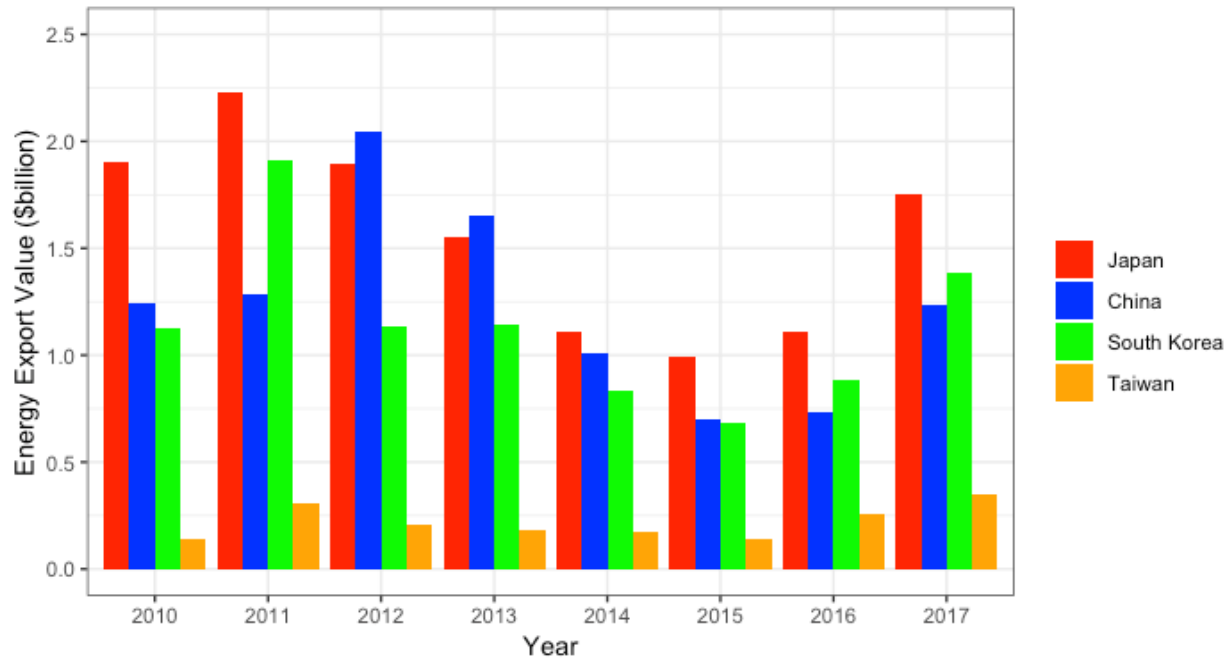
Data Source: Statistics Canada

4. The Proportion of Canada's Energy Export by Partner Type (2010-2017)



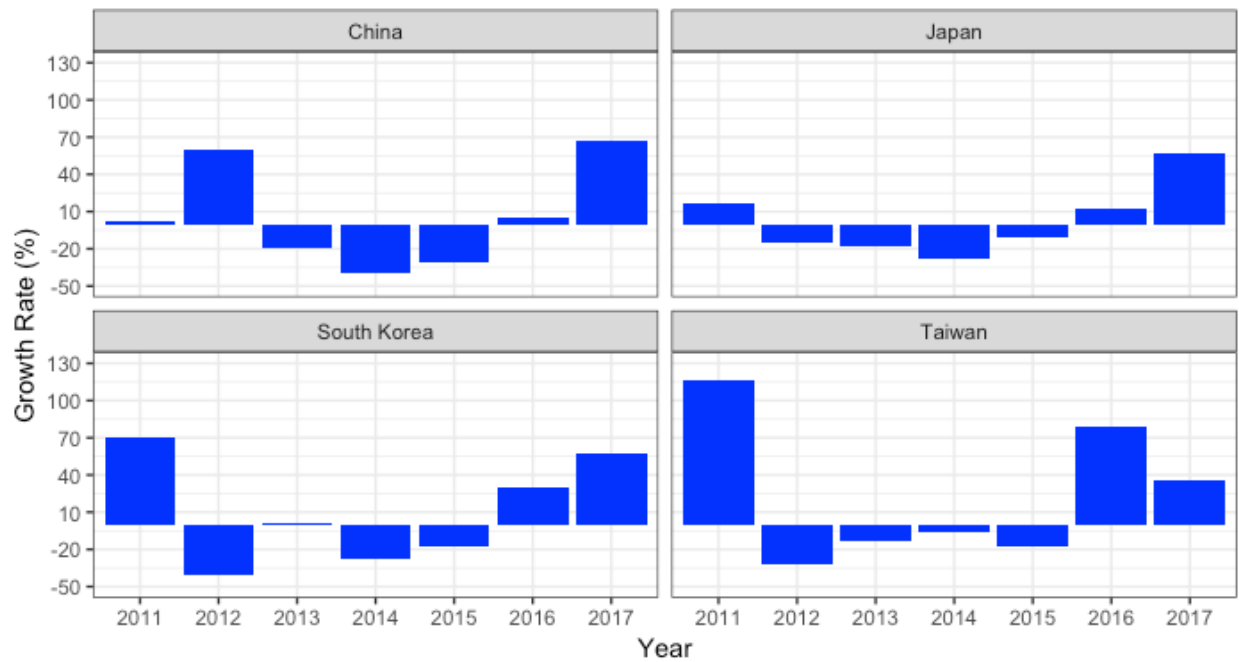
Data Source: Statistics Canada

5.Canadian Total Energy Export to Top Four Asian Partners (2010-2017)



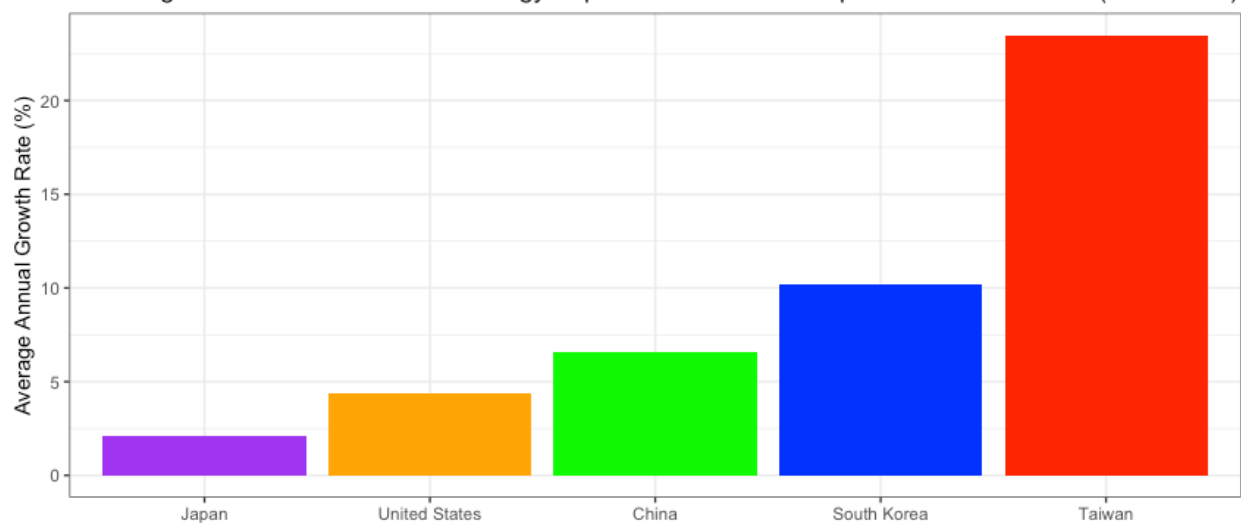
Data Source: Statistics Canada

6.Annual Growth Rate of Energy Export to Top Four Asian Partners (2011-2017)



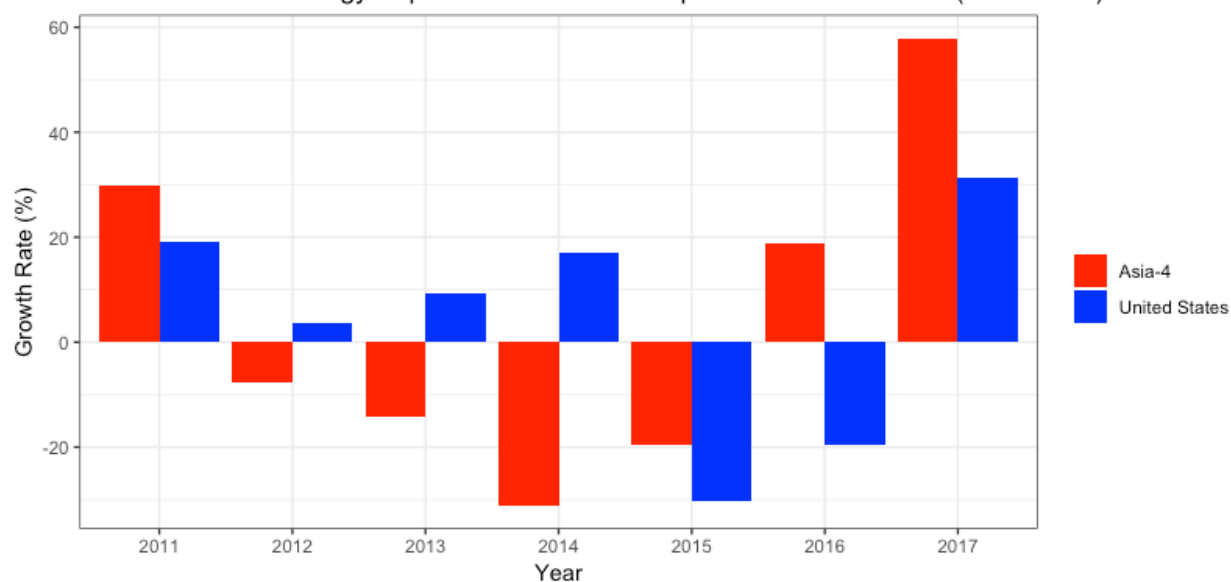
Data Source: Statistics Canada

7. Average Annual Growth Rate of Energy Export to The US and Top Four Asian Partners (2011-2017)



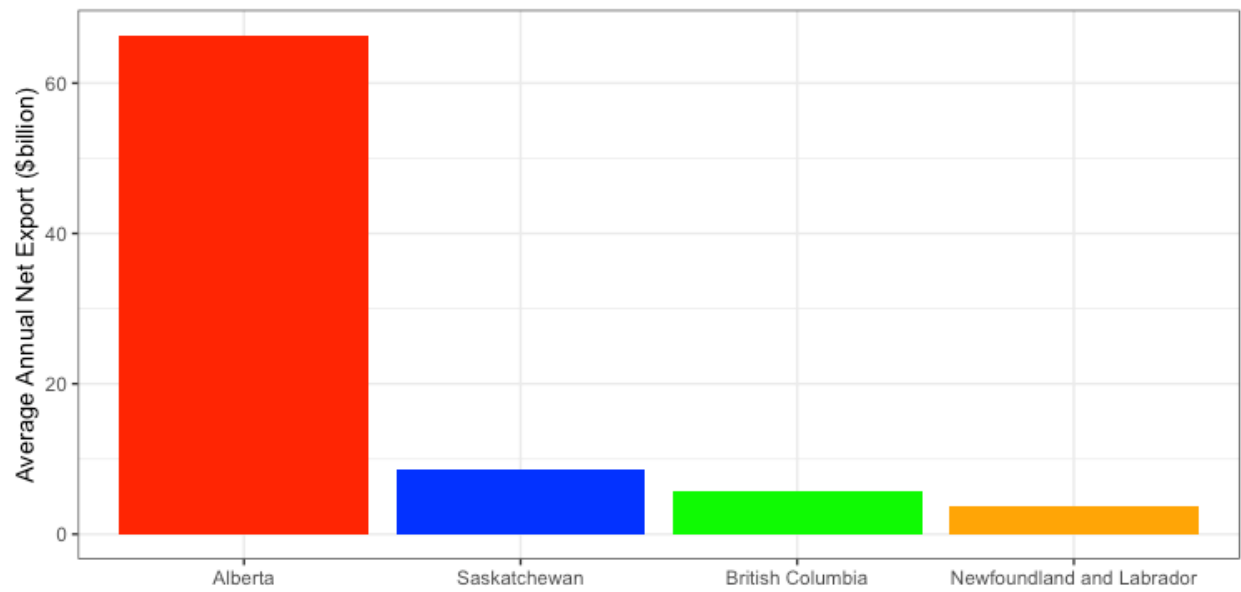
Data Source: Statistics Canada

8. The Growth Rate of Energy Export to The US and Top Four Asian Partners (2011-2017)



Data Source: Statistics Canada

9.Average Annual Net Export of Energy Products From Top Four Provinces (2010-2017)



Data Source: Statistics Canada